Difference between a Bill of Exchange and a Cheque

Sl. No.	Basic of Difference	Bill of Exchange	Cheque
1.	**Drawn**	A bill of exchange can be drawn on any person including a banker	A cheque can be drawn only on a particular banker.
2.	**Payability**	It is payable on demand or on the expiry of a certain period.	It is payable on demand only.
3.	**Validity**	A bill made payable to bearer on demand is void by virtue of section 31 of the RBI Act.	A cheque drawn payable to bearer on demand is perfectly valid.
4.	**Acceptance**	In case of time bill, acceptance by the drawee is necessary before he can be made liable on it.	A cheque does not require any acceptance.
5.	**Grace period**	Three days of grace are allowed while calculating the maturity date in the case of time bill.	No days of grace are allowed in the case of a cheque for the simple reason that is always payable on demand.
6.	**Notice**	When a bill is dishonoured, notice of dishonour is necessary.	Notice is not necessary for a cheque.
7.	**Sets**	Foreign bills of exchange are drawn in sets of three.	It is not so in case of cheque.
8.	**Discounting**	A bill can be discounted with a bank.	A cheque cannot be discounted.
9.	**Stamping**	Bills are to be sufficiently stamped	Cheques need not be stamped
10.	**Currency**	A bill can be drawn and payable in any currency.	A cheque is payable only in home currency.
11.	**Crossing**	A bill cannot be crossed	A cheque can be crossed either generally or specially so as to ensure payment to the rightful owner.
12.	**Dishonour**	On dishonour of a bill there is a practice of noting and protesting	No such thing is done on the dishonour of a cheque.
13.	**Discharge from Liability**	The drawer of bills is discharged from liability if it is not duty presented for payment.	The drawer of a cheque is not discharged by delay of the holder in presenting it for payment unless because of the delay his interest have been damaged owing to bank's failure meanwhile.

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